

LAND DEVELOPMENT PROCESS/PROGRAM

PROJECT DEVELOPMENT

PHASE 0

PROJECT IDENTIFICATION

- Concept Introduction and Phase 0 Request
- Market Engagement / Request for Information (RFI)
- Preliminary Screening

PHASE I

PROJECT PLANNING

- Project Charter
- Draft Request for Proposal (RFP)

PHASE II

SOLICITATION & LESSEE SELECTION

- RFP Release
- Industry Day (optional)
- Evaluate Proposals
- Select Qualified Lessee(s)

PHASE III

LEASE EXECUTION

- Finalize Appraisal & Legal Sufficiency
- IKC Terms & Conditions / Negotiation
- Finalize Agreement
- Lease Execution

PORTFOLIO MANAGEMENT

PHASE IV

IMPLEMENTATION (DESIGN & CONSTRUCTION)

- Lessee designs and builds their planned revenue-generating project with the Navy EUL footprint IAW the EUL lease agreement

PHASE V

SUSTAINMENT

- Length of Term: Driven by the purpose of the agreement and applicable real estate authority
- Oversight of Development
- Lease Compliance
- Management of Funds
- Reporting and Metrics

PHASE VI

TERMINATION OR RENEGOTIATION

- Actual timeline from concept to lease signing varies widely and is highly subject to variation due to the nature and complexity of each project.
- At lease end: renewal, renegotiation, or reversion/closeout

***Disclaimer:** The Navy leasing process may vary depending on agreement complexity, regulatory requirements, and Navy or selected offeror considerations.



DEPARTMENT OF THE NAVY
**ENHANCED USE LEASE
(EUL) PROGRAM**

What is an EUL?

An **Enhanced Use Lease (EUL)** is a long-term lease of Navy land, typically for private commercial development. Under the EUL Program, partnerships between public entities to private developers and the Navy are created to fulfill mutually beneficial commercial projects on non-excess Navy real estate.

This innovative program enables the Navy to optimize the value of its real property assets. In exchange for leasing property, the Navy receives In-kind Consideration (IKC) for fair market value (FMV). **Installations can use the lease revenue to offset budget cost and provide value to the warfighter.**

The rising cost and shrinking budgets have pushed the Navy to find new ways to offset expenses. An EUL empowers the Navy to lease underutilized assets to private industry which will ultimately generate additional funding. Leveraging real property assets help the Navy provide solutions for unfunded needs.

**EULS MUST MUTUALLY BENEFIT
THE NAVY, DEVELOPER, AND
THE COMMUNITY**

IKC EUL examples include:

- Facility Upgrades
- Energy Resilience
- Roof Replacement
- Solar + Battery Storage
- Training Support
- Admin Facilities
- Sustainment, repair and maintenance

Commercial EUL examples include:

- Solar Farms
- Auto Import
- Industrial
- Solar Energy
- Hotel
- Logistics Facilities
- Retail/Mixed Use Development

EULs ARE

MARKET DRIVEN

SELF-SUSTAINING

DEVELOPER
OPERATED

BENEFICIAL TO THE NAVY
& LOCAL COMMUNITY

Base Roles and Responsibilities:

- Request assessment of EUL opportunity
- Navy environmental analysis
- Obtain Real Property information
- Ensure Mission Compatibility with Installation
- Engage with community stakeholders
- Support draft of Request for Proposal (RFP)

COMMERCIAL EUL PROJECTS



Emerald Breeze Hotel, Elgin AFB



Aerospace Research Park, Falcon Hill AFB



Shopping Center, JB Pearl Harbor Hickam



The Offices at Fort Sam, JB San Antonio

IN-KIND CONSIDERATION PROJECTS